

ELIZABETH II



1970 CHAPTER xlvii

An Act to confer further powers on the Salop County Council with regard to finance and local government; and for other purposes. [23rd July 1970]

WHEREAS—

(1) It is expedient that further and better provision should be made with reference to the finance and local government of the administrative county of Salop:

(2) It is expedient that the other provisions in this Act should be enacted:

(3) The purposes of this Act cannot be effected without the authority of Parliament:

(4) In relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act 1933 1933 c. 51. have been observed:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1. This Act may be cited as the Salop County Council Act Short title. 1970.



Interpretation.

2.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them:—

- 1933 c. 51.       “ the Act of 1933 ” means the Local Government Act 1933;
- 1937 c. 68.       “ the Act of 1937 ” means the Local Government Superannuation Act 1937;
- 1961 c. 62.       “ the Act of 1961 ” means the Trustee Investments Act 1961;
- “ the Council ” means the county council of the county;
- “ the county ” means the administrative county of Salop;
- “ enactment ” means any enactment, whether public general or local, and includes any order, byelaw, rule, regulation, scheme or other instrument having effect by virtue of an enactment;
- “ financial year ” means a period of twelve months ending on 31st March;
- “ the fund ” means the superannuation fund maintained by the Council under Part I of the Act of 1937;
- “ local authority ” means the council of a county, county borough or county district and any other authority being a local authority as defined by section 34 of the Local Loans Act 1875, and includes any joint board if all the constituent authorities are such local authorities as aforesaid;
- 1875 c. 83.       “ revenues ” has the same meaning as in section 218 of the Act of 1933;
- “ signature ” includes a facsimile of a signature by whatever process reproduced.

(2) Any reference in this Act to an enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by, or by virtue of, any enactment including this Act.

Power to  
raise money  
by bills.

3.—(1) In addition to the modes of borrowing prescribed by the Act of 1933, the Council may raise money—

- (a) for any purpose for which the Council are authorised to borrow;
- (b) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Council may properly be applied;

by means of bills (to be called “ Salop County Council bills ”, in this section referred to collectively as “ bills ” and separately as a “ bill ”) subject to, and in accordance with, the following provisions:—

- (i) A bill shall be in the form prescribed by regulations made under this section and shall be for the payment of the



sum named therein in the manner and at the date therein mentioned, being a date not more than twelve months from the date of the bill:

- (ii) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be payable:
- (iii) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Council may determine:
- (iv) Bills shall be issued under the authority of a resolution passed by the Council, and shall bear the signature of the treasurer of the Council or of some other person authorised by the Council:
- (v) The Council may make regulations providing for—
  - (A) the preparation, form, mode of issue, payment and cancellation of bills;
  - (B) the issue of new bills in lieu of bills defaced, lost or destroyed;
  - (C) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills; and
  - (D) the giving of a proper discharge on the payment of a bill:
- (vi) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:
- (vii) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—
  - (A) the sum of one million, two hundred and fifty thousand pounds; or
  - (B) one-fifth of the amount estimated to be produced by the levying of rates in the county during the then current financial year to meet liabilities falling to be discharged by the Council;whichever is the greater:
- (viii) Subject to the provisions of the last preceding paragraph, the Council may renew a bill at maturity:
- (ix) The Council may borrow for the purpose of repaying the principal money raised by bills but except as aforesaid any power of the Council to borrow shall be suspended to the extent of the amount which has been raised by the issue of bills.



(2) (a) The Council may at the request of a local authority to which this subsection applies raise money by means of Salop County Council bills and shall lend such money to the local authority—

- (i) for any purpose for which the local authority are authorised to borrow; or
- (ii) in anticipation of the receipt of revenues for any purpose for which the revenues of the local authority may properly be applied:

Provided that the aggregate amount payable on bills issued under this subsection for the purpose of lending to the local authority current at any one time shall not (except by the amount payable on bills issued shortly before any other such bills fall due in order to pay off the last-mentioned bills) exceed one-fifth of the amount of so much of the gross rate income of that local authority for the then current financial year as is retained by the authority to meet liabilities falling to be discharged by the authority.

(b) The aggregate amount payable on bills issued under this subsection current at any time shall not be taken into account in calculating the aggregate amount referred to in paragraph (vii) of subsection (1) of this section.

(c) Any money lent to a local authority by the Council under this subsection shall be repaid to the Council by the local authority on or before the respective dates on which the bills by which the money was raised fall due for repayment.

(d) This subsection applies to any local authority, being the council of a borough or an urban or rural district in the county, whose gross rate income in the financial year current at the date of any proposed exercise of the powers of this subsection is not less than three million pounds.

(e) In this subsection “gross rate income” means the gross rate income as used in the determination of the product of a rate of one penny in the pound under rules made pursuant to section 113 of the General Rate Act 1967.

1967 c. 9.

Power to  
raise money  
by bearer  
bonds.

4. In addition to any other method by which the Council may raise any money which they are authorised to borrow, they may, with the consent of the Treasury and subject to such conditions as the Treasury may impose, raise the money by means of the issue of bearer bonds or other securities to bearer.

Power to  
raise money  
abroad.

5.—(1) Any method by which the Council are empowered by any enactment to raise any money which they are authorised to borrow shall, notwithstanding anything in such enactment, be deemed to include the raising of money by that method outside the United Kingdom or in any foreign currency.



(2) The powers conferred by the foregoing subsection shall not be exercised except with the consent of the Treasury, and subject to such conditions as the Treasury may impose.

(3) The enactments empowering the Council to raise money shall have effect in relation to a transaction authorised by this section for the raising of money in a foreign currency as if for any reference in those enactments to sterling there were substituted a reference to the foreign currency and for any reference therein to a sum expressed in terms of sterling there were substituted a reference to the sum expressed in terms of the foreign currency (adjusted, where necessary, to produce an amount which the Council consider appropriate having regard to all the circumstances of the transaction).

6. Nothing in the two last foregoing sections of this Act shall be taken as exempting the Council from the provisions of the Exchange Control Act 1947.

Saving for  
Exchange  
Control  
Act 1947.  
1947 c. 14.

7.—(1) The Council may lend to any local authority upon such terms and conditions as may be agreed, such money as the Council think fit to lend and as the local authority are authorised to borrow for the purpose for which such money is proposed to be borrowed:

Power to  
Council to  
lend money  
to local  
authorities,  
etc.

Provided that the powers of this subsection shall not be exercised unless—

(a) the local authority borrowing from the Council is either—

(i) the council of a borough or urban or rural district in the county or any other authority having jurisdiction within the county, being a local authority as defined by section 34 of the Local Loans Act 1875; 1875 c. 83.  
or

(ii) an authority of which the Council is a constituent member; or

(iii) an authority to which the Council appoint a representative; or

(iv) a member authority of a consortium of which the Council is also a member; or

(b) the sum lent by the Council is part of a larger sum borrowed by the Council by way of a stock issue, bond issue, mortgage loan, foreign loan or issue of bills for their own needs and for the needs of another local authority seeking to raise money by the same means.



(2) Any sum borrowed by the Council for the purpose of this section shall be repaid within a period to expire not more than one year after that for which the same was lent by them to the local authority.

(3) Where any sum is borrowed by the Council for the purposes of this section it shall be lawful for the Council for such periods as they may think fit to suspend any annual provision required to be made by virtue of any enactment for the time being in force for the repayment of the sum borrowed.

(4) The Council shall be entitled to charge such rate of interest in respect of any particular loan under this section as may be agreed between the Council and the borrower:

Provided that the Council shall ensure so far as it is reasonably practicable to do so that having regard to all the circumstances existing at the time the loan is made the rate of interest agreed is such that no loss is incurred by the Council in respect of the loan.

Extension of  
power to  
invest  
superannua-  
tion fund  
moneys.

8.—(1) In its application to the Council subsection (3) of section 21 of the Act of 1937 shall have effect as if for the obligation to invest as mentioned in that subsection moneys forming part of but not for the time being required to meet payments out of the fund there were substituted an obligation to invest such moneys as follows, namely:—

- (a) in or upon any investments for the time being authorised by law for the investment of trust funds; or
- (b) in or upon any of the securities of any dominion, commonwealth, union, dependency or colony forming part of the British Commonwealth of Nations or any province or state having a separate local legislature and forming part thereof; or
- (c) in or upon any of the securities of any municipality, county or district council or local or public authority or board in the United Kingdom or any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid authorised under any general or special Act of the United Kingdom Parliament or the legislature concerned to issue the same; or
- (d) in or upon any securities the capital whereof or a minimum rate of dividend or interest whereon is guaranteed by the United Kingdom government or by the government of any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid; or
- (e) in or upon any of the securities of the government of any foreign country or state; or



- (f) in or upon the debentures of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world; or
- (g) in or upon any guaranteed, preference or ordinary shares or any preferred or deferred or other shares of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world, being shares which at the time of making the investment are quoted on any recognised security market:

Provided that no investment shall be made under this paragraph at any time when the value of all the investments made under this paragraph which form part of the fund equals or exceeds three-quarters of the total value of the assets of the fund; or

- (h) in the purchase, whether alone or jointly or in common with any other person or corporation, of immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands, or of any share or interest in such immovable property, including any interest in such immovable property comprised in a building agreement providing for the grant of a lease of such property contingent on the erection or completion of the building specified in such agreement:

Provided that no investment shall be made under this paragraph or the next paragraph at any time when the value of all the investments made under those paragraphs which form part of the fund equals or exceeds one-sixth of the total value of the assets of the fund; or

- (i) in undertaking or financing whether alone or jointly with any other person—

- (i) the erection of a new building or the improvement or extension of an existing building; or

- (ii) building operations or other development;

on land belonging to the Council or to any other person or on land which is or will be held jointly by the Council and any other person; or

- (j) in the advance of money upon the security of—

- (i) immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands; or



(ii) any legal estate or interest in immovable property comprised in a building agreement as specified in paragraph (h) of this subsection;

and in any such case whether the security be taken by a separate and distinct mortgage or security made exclusively to the Council, or by a mortgage or security made jointly to the Council and any other person; or

(k) upon the security of freehold or leasehold ground rents, land charges or rentcharges;

with the like power of varying such investments from time to time by sale and reinvestment or otherwise.

(2) (a) In subsection (1) of this section the expression "recognised security market" means a stock exchange, an association of stock and share dealers, or an over-the-counter market recognised as a market or association in which dealings in securities in the country concerned normally take place.

(b) For the purposes of subsection (1) of this section the value of any investment forming part of the fund shall be treated as being the value of the investment at the time at which it was made.

(3) All costs, charges and expenses incurred by the Council in investing moneys forming part of the fund or otherwise in relation thereto shall be paid by the Council out of the fund.

(4) For the purposes of the foregoing provisions of this section an investment in the units of a unit trust scheme or in participation certificates or in any form of participation under any trust or scheme established in the United Kingdom or in any of the territories or countries referred to in subsection (1) of this section having the effect of enabling persons to participate in the profits and income arising from the acquisition, holding, management or disposal of such securities or of such land or interest in land as are specified in that subsection shall be regarded as an investment in the securities in question or in such land or interest in land.

(5) Section 6 of the Act of 1961 (which specifies the duty of trustees in choosing investments) shall apply to an investment under this section as if such investment were made in a manner specified in Part II or Part III of Schedule 1 to the Act of 1961.

(6) The restrictions contained in paragraphs 1, 2 and 3 of Part IV of Schedule 1 to the Act of 1961 shall not apply to the securities in which the Council are authorised to invest by virtue of paragraph 1 of Part III of the said Schedule 1 or by virtue of subsection (1) of this section.



9.—(1) The Council may provide services and facilities for the processing of data by computer or by any other equipment of the Council which the Council may possess for any person and the Council may make such charges as may be agreed for the provision of those services and facilities. As to use of computer equipment of Council.

(2) Information obtained by any employee of the Council in the course of the provision of such services or facilities shall not without the consent of the person from whom it was obtained be disclosed by that employee except for the purpose of performing his duties in relation to those services and facilities or in such cases as may be required by law.

10.—(1) The Council may give notice by post to the registered holder of an authorised security that they intend to send interest or dividends on the security to him by post if he does not object; and, unless the registered holder within fourteen days of the date of receipt of the notice notifies the Council that he objects, the Council may from time to time send orders for the payment of interest, and dividend warrants, to him by post at the address in the register. Interest and dividends by post.

(2) If the registered holder of an authorised security notifies the Council in writing that he wishes interest or dividends on the security to be sent to another person at an address specified in the notice, the Council may from time to time send orders for the payment of interest, or dividend warrants, to that person by post at that address.

(3) For the purposes of this section the Council may treat as the registered holder of an authorised security that one of the joint holders of the security who is first named in the register, or such other of them as the joint holders may in writing direct.

(4) The posting by the Council of an order for the payment of interest, or a dividend warrant, in pursuance of this section shall discharge the Council from any obligation to deliver the order or warrant to the holder of the security.

(5) An order or warrant sent by post in pursuance of this section shall be deemed a cheque; and the Council shall in relation thereto be deemed a banker within the meaning of the Bills of Exchange Act 1882.

1882 c. 61.

(6) In this section "authorised security" means any mortgage or other security that the Council are for the time being authorised to grant or issue, but does not include stock or bonds.



Powers of  
Act to be  
cumulative.

11. All powers and duties conferred or imposed by this Act shall be deemed to be in addition to and not in derogation of any other powers and duties conferred or imposed by any enactment, law or custom, and, subject to any express provision of this Act, all such other powers and duties may be exercised and shall be performed in the same manner and as if this Act had not been passed.

Power to  
borrow and  
costs of Act.

12.—(1) The Council may borrow—

- (a) such sums as may be necessary for any of the purposes of this Act;
- (b) without the consent of any sanctioning authority, such sums as may be necessary for paying the costs, charges and expenses of this Act;
- (c) such sums as may be requisite for the purpose of lending to a local authority under section 7 (Power to Council to lend money to local authorities, etc.) of this Act;

and, subject to the provisions of this section, Part IX of the Act of 1933 shall have effect as if money borrowed under this section were borrowed under that Part.

(2) The costs, charges and expenses preliminary to, and of and incidental to, the preparing, applying for, obtaining and passing of this Act or otherwise in relation thereto, shall be paid by the Council out of the county fund of the Council or out of moneys to be borrowed under this Act.

(3) The Council shall repay sums borrowed under paragraph (b) of subsection (1) of this section within five years from the date of borrowing.

(4) It shall not be lawful to exercise the powers of borrowing conferred by paragraphs (a) and (c) of subsection (1) of this section except in compliance with any order for the time being in force under section 1 of the Borrowing (Control and Guarantees) Act 1946.

1946 c. 58.

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# Salop County Council Act 1970

## CHAPTER xlvii

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